

ing a large and growing portfolio in renewables. Our investments in conventional energy focus on capital expenditure and operational expenditure to support these producers in transitioning to greener production methods.

Many global investors have left the sector, which leaves companies needing capital for transition in a difficult position. We see a significant opportunity in stepping into the market to help these companies transition to greener sources of energy production, particularly because many are currently undervalued. By aligning with management on energy transition goals, we aim to support their shift to greener practices while benefiting from potential value increases. We committed a few years ago to double our green and transition assets by 2030, from C\$65 billion to C\$130 billion, and we have made good progress towards this goal.

Q: You mentioned private credit and the potential for significant opportunities. Are there particular areas where you see potential?

A: Private credit is an area that is expected to grow, and I see it as a significant opportunity. There is considerable discussion about private credit in the media, and I view it as quite symbiotic with the existing banking system, where in some cases private credit is a very natural holder of the asset or the paper. We continue to grow our private credit portfolio modestly and continue to seek opportunities. For example, in the US, we are the majority shareholder of Antares Capital, a US-focussed middle-market lender for private equity-owned companies. We acquired it from GE almost nine years ago, and Antares has proved its resilience through various economic cycles, including the global financial crisis and Covid-19. This history of disciplined credit underwriting and low loss rates underscores the stability and potential of private credit. We are interested in learning more about how the market is evolving here in India.

Q: Over the past 10 years, your returns have averaged around 9.2% per annum. Do you

expect challenges in maintaining this rate?

A: With returns, there are multiple components to consider. Over the past 10 to 15 years, everybody benefited from the favourable environment, with tailwinds from constructive monetary policy, low rates, benign geopolitics, and supportive fiscal globalisation. At CPP Investments, our goal is not just to maximise returns but to achieve the best risk-adjusted returns. A 9.2% rate of return on our portfolio size is great, and we will do everything we can to continue to drive returns like that. However, achieving these returns will be harder going forward. Returns are a combination of the risk-free rate plus a risk premium. For example, in private equity, driving returns increasingly depends on operational performance rather than financial engineering, which it used to be earlier. One of the pluses is that with interest rates at 4-4.5%, we are halfway there in government bonds. As an institutional investor, having rates where they are, it's not the worst thing in the world.

“We really try to be quite surgical about which emerging markets we dedicate effort into. We aim to focus on fast-growing markets with scale, with India being a key market”

Q: The Indian market is quite fragmented, with only a few large players in the infrastructure space. Does this make it challenging to find substantial investment opportunities?

A: You have to be patient. Our infrastructure portfolio in

India certainly has a fair amount of road investments through InvITs (infrastructure investment trusts). While any specific asset may not be that large, when you start to collect 15, 16, and 17 roads, you get to scale. Having the vehicles, having the platforms where you can actually aggregate assets, is a way to get scale. In renewables, although each project might be of modest size, building a portfolio of many projects leads to substantial scale. So, as we think about investing in infrastructure, we often do it through platforms where they're aggregating or developing the assets. And over time, you get scale. You know that you won't have scale, maybe out of the gate, but over time, you get to scale and you build it. **BT**

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